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ATTORNEY CLIENT PRIVILEGE

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California Public Utilities Commission
505 Public Utilities Commission
San Francisco, California 94102

Re: I.00-08-002 Subpoenas Served on Enron Power
Marketing, Inc. ("EPMI"), Enron Energy Services Inc. ("EESI"), Enron Energy
Marketing Corporation ("EEMC"), Enron Energy Services Operations Inc. (EESO)
and Portland General Electric Corporation ("Portland General")(collectively
sometimes referred to as the "Enron Entities")

Harvey,

Here are our proposals with respect to the Enron Entities'
production of documents pursuant to the above described subpoenas issued by
the California Public Utility Commission (hereinafter "the Commission"). We
make these proposals pursuant to our email exchange of October 3, 2000 with
the understanding that the Commission agrees that by cooperating, offering
to produce or producing documents, these entities have not waived any
objections or challenges to these subpoenas whatsoever and that any claims,
defenses, objections, jurisdictional or otherwise or other responses have
been specifically reserved and can be raised in the future, if necessary.
For all of these proposals, we exclude documents that are protected from
disclosure by the attorney client and attorney work product privileges.

GENERAL DOCUMENTS

Requests 1 through 4

The Enron Entities have been very dynamic organizations having
acquired, sold, divested, joint ventured, spun off and otherwise reorganized
themselves extensively during the past two years. The burden and expense on
Enron to locate, and produce every corporate organizational chart anywhere
in its organization since April 1, 1998 is significant. The Enron entities
will provide the Commission with exemplars of its current organizational
charts, telephone directories and so called "family trees" to show its
current organization. To the extent that Enron can readily identify and
locate exemplars of significant organizational charts, telephone directories
or so called "family trees" for earlier periods it will also make those
available. One Enron Entity, Portland General, has published books on its
corporate history. If a list of those books would be helpful, we can
provide it. With respect to the other entities, to the extent that
corporate histories can be found, they will be produced. We anticipate
producing these documents in the first wave on October 13, 2000.

Requests 5 and 6

The Enron Entities propose that their responses to Requests 1-4 will identify their relationship to affiliated companies and the Transaction Data will identify its customers and suppliers.

FINANCIAL DOCUMENTS

Requests 7 through 11

The Enron Entities will produce its public filings for the period requested with respect to financial data. EPMI, ESSI, and Portland General will provide to the Commission electronic transaction data for the purchase and sale of energy delivered which includes economic data. We anticipate producing public filings regarding financial data on October 13, 2000 and the transaction data in the second wave of document productions.

GENERATING DOCUMENTS

Requests 12, 14 and 18

For the Enron Entities other than Portland General, the generation facilities are very small and there will probably be limited documents available. The Enron Entities to the extent they act as a scheduling coordinator or possessed the right to use or resell generation output, do not have the specific documents that pertain to each generation unit requested. The Enron Entities, other than Portland General, do have documents and information for Enron Wind, Saguaro and Las Vegas Cogeneration. We propose to produce these documents in the second wave of document productions.

For Portland General, there will be a very large volume of documents and we propose to handle them differently. First, Portland General will provide for year 2000 electronic data in summary form similar to the data being provided by other Enron Entities to the extent relevant. With respect to specific generating cost data, because of the volume, we suggest that these documents be made available in Portland for inspection from a representative sampling of facilities. If there are specific documents that the Commission would like copied from that production, we can discuss the arrangements for producing these documents. We propose to make these documents available in Portland in a third wave of document productions

TRANSACTION DOCUMENTS

Request 13, 15, 16, 17, 19

We understand that the CPUC will be obtaining trading data for the purchase and sale of energy delivered in California from the ISO and PX. EPMI can provide the Commission several different sets of trading data for year 2000 (in California and outside of California and Real Time) for the purchase and sale of energy delivered with the date, counterparty, quantity, delivery point, hours, price, and whether it is purchase or sale. Because of the speed with which you want this information, it is possible that some entries will be incomplete or inaccurate. For those transactions where EPMI served only as the scheduling coordinator, we understand that the ISO will show part of the transaction, but there will not be a corresponding transaction in the EPMI data we can provide quickly. The reason is that this type of transaction is passed through to EPMI's customer on an accounting system rather than as part of the trading business. EESI can

also provide similar electronic data with the proviso that it will not include the specific names of its retail customers but instead will provide a blind customer number. Many of ESSI's customers have agreements whereby they must be notified of any subpoena and provided an opportunity to object. ESSI cannot meet your time frame to release information and give its customers the notice they require. We anticipate producing the transaction data in the second wave of document productions.

FERC DOCUMENTS

Request 20

The Enron Entities will produce the requests for data they received from FERC and to the extent that FERC has been given responses, copies of those responses. We anticipate producing the FERC documents on October 13, 2000.

Based upon discussions that we have had with the various Enron Entities, we believe that we could make a second wave of productions on Friday October 27, 2000. It is possible that not all Enron Entities could make that date but we believe the bulk of the data could be available for production by then.

We propose to make these productions with the understanding that if any entity obtains a more stringent protective order than the one currently in place, that all of the Enron Entities document productions will be protected by the most stringent protective order.

We understand that you will consider these proposals and let us know if they are acceptable to the Commission. If you have any questions or comments about our proposal, please do not hesitate to contact Michael Day or myself.

Brobeck Phleger & Harrison LLP

Gary Fergus

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